TAMPA BAY BUSINESS MODEL

Key Clarifications: Actual Business vs. Phase 1 Assumptions

For Karim's Go-To-Market Strategy Deck | January 2026

📊 SUMMARY: Critical Business Model Clarifications

Phase 1 market study provides valid strategic framework (Tampa Bay gateway, tariff advantage, Port Redwing positioning) but requires clarification on actual business model. **Core business is SRM partner throughput (not SESCO product)**, white cement opportunity validated and exceeds Phase 1, and gray cement restricted from Florida ready-mix per SRM partnership agreement. Key clarifications below align Phase 1 analysis with actual go-to-market strategy.

I. SRM Partnership Clarification

⚠️ CLARIFICATION #1: SRM is Partner/Customer, Not SESCO Product Line

> **(RVD):** *"SRM is a partner that has throughput agreement, so is a customer of the terminal but there market share agreement, so to clarify, this means by contract, can't market to the ready-mix"*

What This Means:

- **SRM is a customer of Port Redwing terminal**, not a SESCO product line or revenue source
- 300-400K MT represents SRM's throughput volume through the facility (partner's business, not SESCO's)
- **Market share agreement restricts SESCO from selling gray cement to Florida ready-mix industry**
- SRM relationship provides terminal throughput/utilization but revenue comes from handling fees, not cement sales

Impact on Phase 1 Analysis:

- Phase 1's primary gray cement customer target (independent ready-mix producers, Tier 1-B in study) is **contractually unavailable**
- Gray cement strategy must focus on: CMU block plants, precast manufacturers, bagged distribution, contractors, out-of-state ready-mix
- Financial model needs revision: Terminal revenue model (throughput fees) vs. commodity sales model

II. Slag Business Opportunity

⚠️ CLARIFICATION #2: Slag as Strategic Product Line (Not Analyzed in Phase 1)

> **(AEE):** *"We are planning to dedicate two silos to slag – there are preliminary discussions with one customer which would purchase ~100k per year. Pricing still unknown. I would put more weight to Slag"*

What This Means:

- **2 dedicated silos at Port Redwing** = significant infrastructure commitment to slag product line
- **100K MT/year customer in discussions** = single anchor customer opportunity
- "Put more weight to Slag" = strategic priority for business development
- Pricing still unknown = need to establish market rates and margin profile

Phase 1 Gap:

- Slag not mentioned once in Phase 1 study (zero competitive analysis, customer targeting, or market sizing)
- Need to add: Slag supplier landscape, customer requirements, competitive positioning, margin structure
- Port operations assessment required: Slag handling capabilities, grinding requirements (if any), quality control

III. White Cement Strategy - Validated and Enhanced

✓ VALIDATED: White Cement Opportunity Confirmed - Exceeds Phase 1 Estimates

> **(AEE):** *"Also, the plan is to push more white cement sales. We know that one of the Mapei plants alone consumes 30k tpa, which we plan to supply. I would push white cement in 2027 to at least 60-75k tons."*

What This Validates:

- **Mapei anchor customer confirmed: 30K MT/year consumption** (single customer validates Phase 1 market sizing)
- 2027 target 60-75K MT **exceeds Phase 1 Year 3 estimate of 46K MT**
- Strategic emphasis on white cement ("plan to push more white cement sales") confirms Phase 1 specialty product focus

Addressing Phase 1 Concerns:

> **(BH):** *"A long time ago FL was a huge Stucco market, houses were constructed with CMU Block and parged (coated) with white cement (a blend of White Masonry & Portland bags). My understanding is this market has deteriorated significantly; we will need to quantify. EIFS stucco helps us very little on the bag side."*

Clarification on Customer Targeting:

- Phase 1 incorrectly emphasized stucco/EIFS manufacturers as primary white cement target
- **Actual driver: Tile adhesive/grout manufacturers (Mapei confirms this)**
- Traditional white cement stucco market has deteriorated (not viable target)
- EIFS uses pre-mixed products (doesn't drive bulk cement demand)

- **Revised white cement targets:** Tile adhesive producers (Mapei anchor), pool plaster, architectural precast, specialty applications

✓ Additional White Cement Opportunity: Federal White Market Withdrawal

> **(BH):** *"If Federal continues to reduce there presence in the US it will definitely have a big impact."*

> **(MS):** *"I'm hearing that Federal White is reducing their presence in USA market"*

Strategic Opportunity:

- Federal White Cement is major US supplier - market withdrawal creates capture opportunity
- Phase 1 did not identify this competitive development
- Action: Identify Federal White customer list, assess volume being released, develop capture strategy

IV. Gray Cement Market - Restricted But Viable

⚠️ CLARIFICATION #3: Gray Cement Restriction Scope and Alternative Markets

> **(AEE):** *"We have a restriction per the SRM concrete which doesn't allow us to sell gray cement to the ready-mix industry in Florida, so gray sales will be conservative."*

> **(MS):** *"Our contract with SRM needs to be reviewed to know what restrictions we have pertaining to selling gray cement."*

What This Means:

- **Contractual restriction** from SRM partnership prohibits marketing to Florida ready-mix industry
- Gray cement volumes will be "conservative" (50-150K MT) vs. Phase 1's ready-mix focus (150K MT Year 3)
- Need to clarify exact scope: All Florida? Just ready-mix? Geographic boundaries?

Alternative Gray Cement Markets (Not Restricted):

> **(BH):** *"There appears to be an abundant amount of Brick and block being used in C.FL. A broad swipe looks like 15 million bricks in C.FL. and another 20 mil. In Jacksonville. CMU block approx. 30mil. In C.FL."*

CMU Block Opportunity:

- **30 million CMU blocks in Central Florida ≈ 270,000 MT cement demand annually**
- Phase 1 mentioned CMU construction but did not quantify cement consumption
- At 10-15% market share: 27-40K MT potential (meaningful volume within restrictions)
- Target customers: Block manufacturers, not restricted by SRM ready-mix agreement

Other Non-Ready-Mix Targets:

- Precast concrete manufacturers
- Bagged cement distributors
- Direct contractor sales
- Out-of-state ready-mix (Georgia, Alabama - if geographically outside restriction)

V. Pricing and Market Conditions

⚠️ CLARIFICATION #4: Pricing Expectations vs. Phase 1 Assumptions

> **(MS):** *"Pricing from Andy's report look a bit inflated, especially the White cement. Not sure about the Gray but I have heard that pricing in Florida was closer to the Texas prices. I have been told that there is a surplus of gray cement that would tend to start lowering price."*

Market Reality Check:

- **Gray cement surplus expected** = pricing pressure (Phase 1 used $90/MT, actual forecast $130-145/MT needs validation)
- White cement pricing may be "inflated" in Phase 1 assumptions (Phase 1: $225/MT, actual forecast: $230/MT)
- Florida pricing "closer to Texas prices" suggests competitive environment

Actual Forecast Pricing (RVD):

Product	2026 Price	Full Year Price	Phase 1 Assumption
Gray Cement	$145/MT	$130/MT	$90/MT
White Cement	$230/MT	$230/MT	$225/MT

Implications:

- Gray cement forecast $130-145/MT (44-61% higher than Phase 1's $90/MT) may be optimistic given "surplus" conditions
- Need to reconcile: Conservative volumes + premium pricing vs. market surplus warnings
- Pricing strategy: Value positioning (tariff advantage, service, Port Redwing location) vs. volume/price trade-offs

VI. Distributor Channel Gap

⚠️ CLARIFICATION #5: Distributor Channel Not Analyzed in Phase 1

> **(BH):** *"We will need some further understanding about the distributor Market in FL"*

Phase 1 Gap:

- Phase 1 focused exclusively on bulk cement terminal-to-customer model
- Bagged cement distribution channel not analyzed (market size, economics, distributor relationships)
- Port Redwing bagging capability not assessed

Questions Requiring Clarification:

- What % of Florida cement market moves as bags vs. bulk? (White cement particularly bag-dominant?)
- Does Port Redwing have bagging equipment? Capacity? Costs?
- Distributor margin expectations and economics?
- Is bagged distribution strategic opportunity or necessary capability for certain segments (white cement, contractors)?

VII. Revised Business Model Summary

Actual Go-To-Market Strategy

Product/Service	Strategy	Volume Target
SRM Partner Throughput	Port Redwing customer with market share agreement. Provides terminal utilization. Not a SESCO product/revenue line.	300-400K MT (partner volume) *Revenue: Handling fees*
Slag	2 dedicated silos, 100K MT anchor customer discussions. Strategic priority ("put more weight to Slag").	Year 1-2: 100K+ MT *Pricing: TBD*
White Cement	Margin driver. Mapei 30K MT anchor. Tile adhesive/grout focus (NOT stucco/EIFS). Federal White opportunity. Push to 60-75K MT 2027.	2026: 20K MT → 2027: 60-75K MT *$230/MT*
Gray Cement	Restricted from FL ready-mix. Target CMU block (30M blocks ≈ 270K MT market), precast, bagged distribution, contractors.	2026: 50K MT → Full year: 150K MT *$130-145/MT*

Key Strategic Shifts from Phase 1

What Phase 1 Got Right (Keep These Elements):

- ✓ Tampa Bay 6.8M MT import gateway positioning
- ✓ Tariff advantage (10% vs. 25-46%) = $12-27/MT cost benefit
- ✓ Port Redwing infrastructure scale (150K MT capacity, I-75/I-4 access)
- ✓ White cement opportunity validated (Mapei 30K MT confirms market, 2027 target exceeds Phase 1)

- ✓ Competitive landscape structure (Argos, Martin Marietta, CEMEX)
- ✓ Florida structural supply gap (6.5M MT import requirement)

What Requires Reframing for Go-To-Market Deck:

- **SRM understanding:** Partner/customer with throughput agreement, NOT SESCO product line
- **Gray cement customer targeting:** Phase 1's Tier 1-B (independent ready-mix) is restricted. Redefine as CMU block, precast, bagged distribution, contractors
- **White cement customer focus:** Tile adhesive (Mapei anchor) not stucco/EIFS manufacturers
- **Slag addition:** Strategic product line not analyzed in Phase 1. Need competitive analysis, sourcing strategy, customer targeting
- **Distributor channel:** Assess bagged market opportunity and Port Redwing capabilities
- **Pricing validation:** Gray surplus warnings vs. $130-145/MT forecast. White cement pricing scrutiny.

VIII. Action Items for Karim's Deck

Immediate Clarifications Needed (For Go-To-Market Deck Completion)

1. SRM Agreement Details

- Review SRM contract: Exact geographic scope of ready-mix restriction? Duration? Any exceptions?
- Terminal economics: Handling fee structure for SRM throughput? Contribution to fixed cost coverage?

2. Slag Business Development

- 100K MT customer: Status of discussions? Pricing expectations? Timeline to commitment?
- Slag sourcing: Domestic vs. import? Supplier relationships? Ground vs. unground?
- Competitive landscape: Who supplies slag to Florida concrete producers? Pricing benchmarks?
- Port Redwing: Slag handling capabilities? Grinding requirements? Quality control protocols?

3. White Cement Execution

- Mapei: Supply agreement status? Volume commitment timeline? Pricing locked?
- Federal White: Customer capture plan? Volume estimate? Competitive response risk?
- Path to 60-75K MT 2027: Beyond Mapei, who are next 30-45K MT targets?

4. Gray Cement Alternative Markets

- CMU block: Plant census, cement consumption validation, competitive supply analysis
- Bagged distribution: Market size, distributor channel economics, Port Redwing bagging capability

5. Pricing Strategy

- Reconcile gray cement "surplus" warnings with $130-145/MT forecast pricing

- Validate white cement $230/MT against "inflated" pricing concerns
- Volume/price sensitivity scenarios for financial model

TAMPA BAY BUSINESS MODEL - KEY CLARIFICATIONS

Strategic Planning Document for Go-To-Market Deck | January 2026

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